The Fisher effect can be seen each time one goes to the bank; the interest rate an investor has on a savings account is really the nominal interest rate. For example, if the nominal interest rate on a savings account is 4 per cent and the expected rate of inflation is 3 per cent, then money in the savings account is really growing at 1 per cent. The smaller the real interest rate the longer it will take for savings deposits to grow substantially when observed from a purchasing power perspective.

FLAG OF CONVENIENCE

Shipping rights in oceans and seas are governed by international treaties. Flag of convenience is a grant of a shipping ‘flag’ by a member of these treaties to a non-member nation establishing the legality of shipping to the latter (*usually used for illegal activities*).

FORCED SAVING

The enforced reduction of consumption in an economy. It may take place directly when the government increases taxes or indirectly as a consequence of higher inflation–a tool usually utilised by the developing countries to generate extra funds for investment. Also known as *involuntary saving.*

FoB

This is the abbreviation of ‘free-on-board’–when in the balance of payment accounting, only the basic prices of exports and imports of goods (including loading costs) are counted. It does not count the ‘cost-insurance-freigth’ (CiF) charges incurred in transporting the goods from one to another country.

FORM OF A LIFE INSURANCE FIRM